a) Common-size Income Statement over year (2022 – 2024)
The following table represents each line's item as both percentage and revenue.
Formula used to calculate **Net Revenue (%) = Item / Net Revenue**.

Years Ended (In Millions, Except Per Share Amounts)	28-Dec-24		30-Dec-23		31-Dec-22	
	$	%	$	%	$	%
Net Revenue	$ 53,101	100.0%	$ 54,228	100.0%	$ 63,054	100.0%
Cost of sales	$ 35,756	67.3%	$ 32,517	60.0%	$ 36,188	57.4%
Gross margin	**$ 17,345**	32.7%	**$ 21,711**	40.0%	**$ 26,866**	42.6%
Research & development	$ 16,546	31.2%	$ 16,046	29.6%	$ 17,528	27.8%
Marketing G&A	$ 5,507	10.4%	$ 5,634	10.4%	$ 7,002	11.1%
Restructuring & changes	$ 6,970	13.1%	$ (62)	-0.1%	$ 2	0.0%
Operating Expenses	**$ 29,023**	54.7%	**$ 21,618**	39.9%	**$ 24,532**	38.9%
Operating Income	**$ (11,678)**	-22.0%	**$ 93**	0.2%	**$ 2,334**	3.7%
Gain on Equity inv, net	$ 242	0.5%	$ 40	0.1%	$ 4,268	6.8%
Interests and other	$ 226	0.4%	$ 629	1.2%	$ 1,166	1.8%
Income before taxes	**$ 11,210**	21.1%	**$ 762**	1.4%	**$ 7,768**	12.3%
Provision for tax	$ 8,023	15.1%	$ (913)	-1.7%	$ (249)	-0.4%
Net Income	**$ (19,233)**	-36.2%	**$ 1,675**	3.1%	**$ 8,017**	12.7%
(-) NI attributing to interest	$ (477)	-0.9%	$ (14)	0.0%	$ 3	0.0%
Net Income attribute to Inte	**$ (18,756)**	-35.3%	**$ 1,689**	3.1%	**$ 8,014**	12.7%
Earnings per share - basic	**$ (4.38)**	0.0%	**$ 0.04**	0.0%	**$ 1.95**	0.0%
Earnings per share - diluted	**$ (4.38)**	0.0%	**$ 0.04**	0.0%	**$ 1.94**	0.0%
Weight avg shares : basic	**$ 4,280**	8.1%	**$ 4,190**	7.7%	**$ 4,108**	6.5%
Weight avg shares : diluted	**$ 4,280**	8.1%	**$ 4,212**	7.8%	**$ 4,123**	6.5%

b) Results of gross Margin Trend:
- **Gross Margin for 2024:** 32.7%
- **Gross Margin for 2023:** 40.0%
- **Gross Margin for 2022:** 42.6%

Analysis of the above Gross Margin Trend: This Analysis indicates that the gross margin has declined over the years. The **negative trends** here are:

- **Change over year 2024 – 2023:** 32.7% - 40.0% = -7.3%
- **Change over year 2023 – 2022:** 40.0% - 42.6% = -2.6%

This drop of gross margin in year 2024 suggests that the production cost is rising with relative to the cost of revenue.

c) EBITDA calculation (2022 - 2024):
Formula used: Operating income + Depreciation + Amortization

(In Millions)	2024	2023	2022
Operating Income	($11,678)	$93	$ 2,334
Depreciation	$ 9,951	$ 7,847	$ 11,128
Amortization	$ 1,428	$ 1,755	$ 1,907
EBITDA	**($299)**	**$9,695**	**$15,369**

d) EBITDA Margin calculations:

In Million	2024	2023	2022
Net Revenue	$53,101	$54,228	$ 63,054
EBITDA	$(299)	$ 9,695	$15,369
EBITDA margin	**- 0.56%**	**17.88%**	**24.37%**

Evaluation:

2024 vs 2023 EBITDA margin: Intel's EBITDA margin has declined from 17.88% in 2023 to –0.56% in 2024. Through which we could conclude that there is a massive decline in the percentage points of 18.44 percent year-over-year.

Comparison:

- Gross Margin % Change (2024-2023): 32.7% - 40.0% = -7.3% points.
- EBITDA Margin % Change (2024-2023): -0.56% - 17.88% = -18.44% points.

Conclusion:

The EBITDA margin has a decline that's more than the gross margin. Through this comparison we could understand that Intel's profitability crisis in the year 2024 was not just because of manufacturing costs, instead the larger EBITDA margin highlights the impact of heavy operating expenses, being more specific charges recorded in 2024 which are being excluded from the gross margin but have been included in operating income used for EBITDA.

e) Calculating Debt / EBITDA

In millions	2024	2023
Short-term Debt	$ 3,729	$ 2,288
Long-term Debt	$ 46,282	$ 46,987
EBITDA	($ 299)	$ 9,695
Total Debt	$ 50,011	$ 49,275
Debt/EBITDA	-167.261	5.083

Evaluation of Leverage Risk

- **Does Intel have a risk when it comes to debt with a debt-to-equity ratio of less than three times the Intel company earnings, specifically the Intel financial leverage risk being lower, than 3x:**
  No. In the year 2023 the ratio is 5.08 times, which's higher than the 3 times ratio. In 2024 the result is -167.26 times because the firm had a loss in EBITDA and had over 50 billion dollars in debt. This happens with the ratio because it becomes negative if the firm has a loss and the firm has a lot of debt like the firm does with the debt. The ratio is negative for the firm, in 2024.
- **Comparison to Average Risk (3.1x):**
  Intel is a lot riskier than companies that are a pretty safe investment. The company's score was 5.08 times in 2023 which is already higher than the 3.1 times threshold. When you look at the results, from 2024 you can see that Intel is having a tough time paying its debt with the cash it gets from its daily operations. Intel's ability to pay its debt through operating cash flow is getting worse.
- **Change Over the Period:**
  The leverage ratio has worsened significantly. While debt levels remained proportionally stable (increasing only about 1.5% from $49.3B to $50.0B), the collapse of EBITDA from nearly $9.7B to a loss of $299M caused the leverage risk to spike to critical levels.



Intel assignment 3.xlsx